Bombay Reclamation Company. In Wachas's words, 'When the [old] Financial was started the [Asiatic] Bank helped to promote its speculation by advancing on its shares. When the Financial in turn promoted the Reclamation Company, it fed the speculation jointly with the Bank. The shares of the last would be hypothecated with the first two, which in their turn would go in for 'time bargain' sale, that is to say, sales forward for delivery on a certain fixed day.'[16]

The Back Bay Co. had been promoted among others by Cowasjee Jehangir and Premchund Roychund (whose father Deepchund Roychund was the broker of the Bank of Bombay). It was Premchund Roychund and the Secretary of the bank, James Blair, who were largely responsible for the bank's ruin. Roychund had made a large fortune speculating in cotton and by the time of the share-mania, had acquired a formidable reputation. According to the Commission, his name and influence were considered essential to the launching of the ephemeral schemes of the day. Intelligent and perceptive, he was quick to discover the imbecility and lax morals of Blair and he soon acquired a great influence over the Secretary. He procured share allotments for Blair, lent him money, bought and sold shares for him without charging him brokerage, and entered into joint speculation with him. The result was that the bank became Roychund's. Blair gave Roychund a book of forms of promissory notes to be filled up by him with the names of parties he wanted to recommend for a loan. If Roychund had shares to sell, he would suggest to an acquaintance that he should buy, offering to finance the money by procuring him a loan from the Bank of Bombay. If he wanted money for a speculation, he would ask a friend to join him in it and then procure a loan in his friend's name for the required sum.[17]

The Directors of the Bank had already delivered it into the hands of Blair by failing to enact any bye-laws which would curb the more or less unlimited powers of the Secretary. Thus, without consulting the Directors, lakhs of rupees were advanced by Blair to single individuals and to the fly-by-night operators of the day on no other security than the promissory note of the party borrowing. Also, he violated the Act by lending to a party on the security of title-deeds to land. The Directors of the bank formally sanctioned the grant of loans on the security of one name and embarked on the most reckless system of advances. Roychund who was also a Director of